Portfolio Management

TACN Capital Partners

FSC 2026

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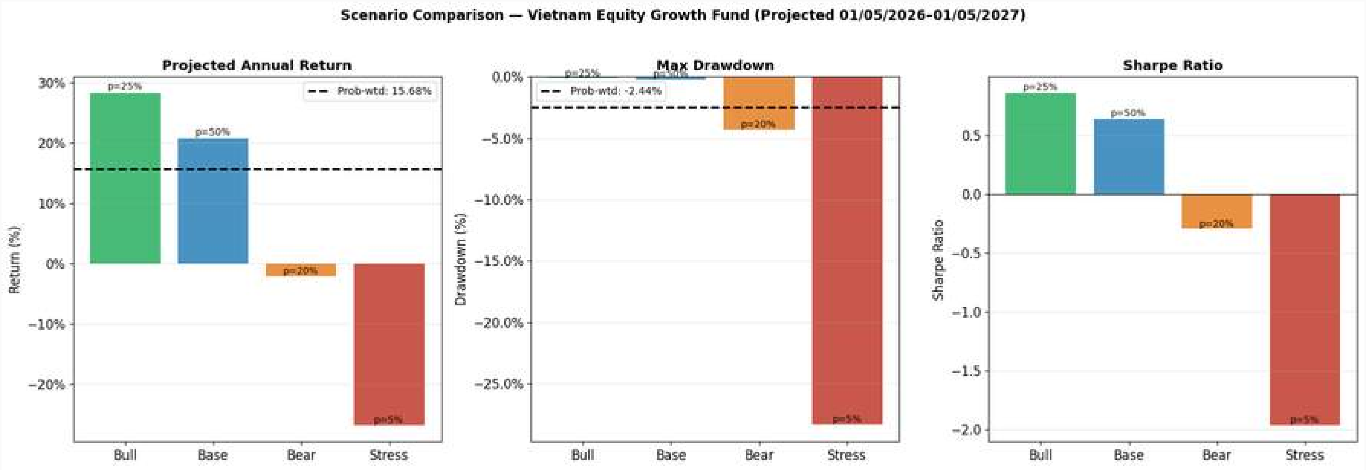
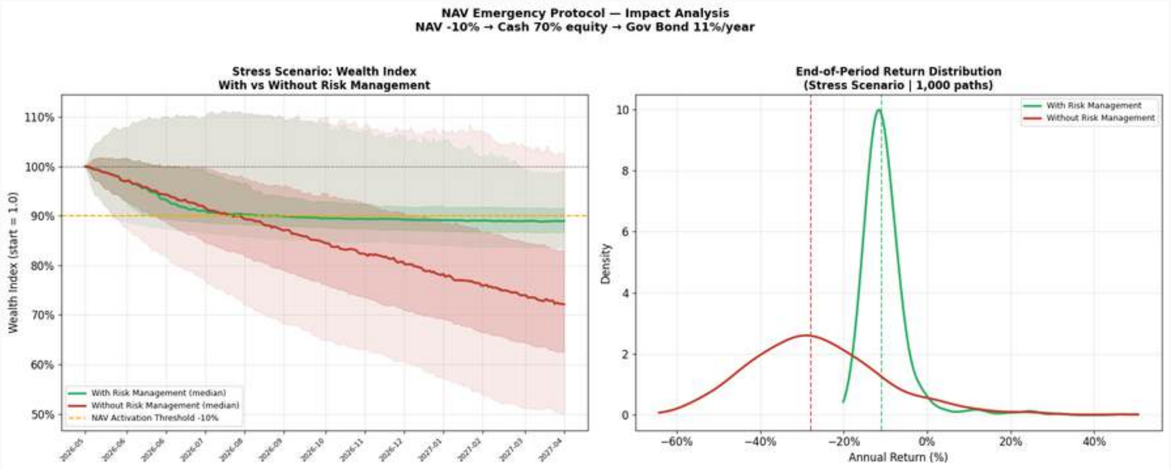
EXECUTIVE SUMMARY

Investor	**Profile**	• **Chartered capital:** 10 billion VND. • **Investment horizon:** 1/5/2026-1/5/2027. • **Risk tolerance:** Medium to high. • **Target securities:** **Mid and large-cap growth equities** listed on HOSE.
	Objectives	• **Return:** Annualized return of **VNI + 5%**. • **Risk:** Portfolio's **standard deviation <30%**.
Portfolio	**Formation**	**Financials:** TECHCOMBANK, Vietcombank **Materials:** HÒA PHÁT – HÒA HỢP CÙNG PHÁT TRIỂN **Consumer Discretionary:** thegioididong.com **Real Estate:** Vietnam Rubber Group – SAI GON VRG – Your trusted partner always; KINHBAC CITY – LEADING WITH SAIGON INVEST GROUP
	Performance	**Performance Evaluation**  **Risk Management** 

Investment Policy Statement

"We target at **medium to long-term** investors with **moderate to high risk tolerance** seeking **growth opportunities** in the **Vietnamese equity market**."

Chartered capital	10 billion VND
Investment horizon	1/5/2026-1/5/2027
Target securities	Equities listed on HOSE.

OBJECTIVES

- **Return:** Annualized return of **VNI + 5%**.
- **Risk:** Portfolio's **standard deviation <30%**.

STRATEGY

Over the past decade, **mid and large-cap growth equities** have led the market, outperforming value and small-caps. This style is chosen for four key reasons:

- **Leadership & Growth:** Drives high capital appreciation through rapid earnings expansion.
- **Resilience & Scale:** Combines strong large-cap balance sheets with agile, mid-cap growth potential.
- **Competitive Moats:** Uses dominant market share and heavy R&D to maintain high barriers to entry.
- **Risk Mitigation:** Relies on proven business models and institutional backing to buffer volatility.

→ Combining **mid and large-cap growth assets** optimizes risk-adjusted returns while capturing secular industry expansion.

POLICY

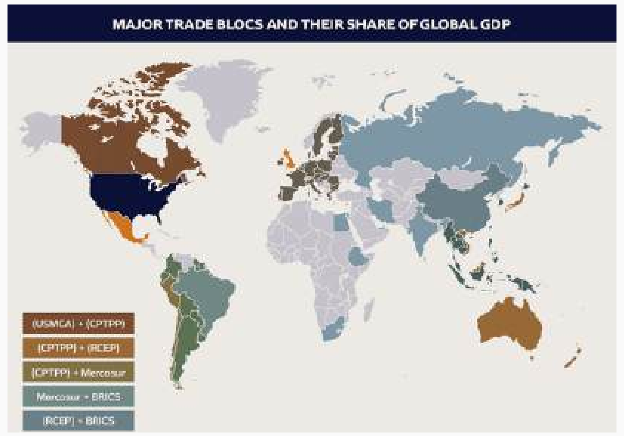
- **Rebalancing Policy:** **±5%** from optimal weight.
- **Asset Allocation Policy:** 90% Equity + 10% Cash.

Macro Overview

GLOBAL ECONOMY

Amid 2026 **global slowdown**, investors must **focus on high-quality stocks** to mitigate macro risks.

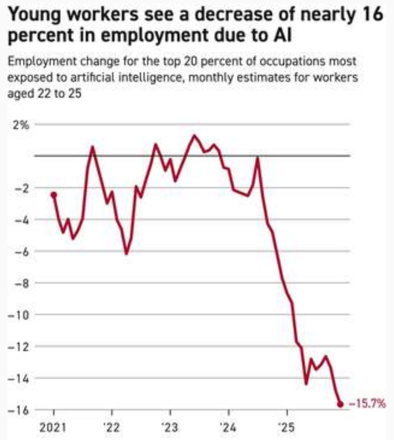
Geopolitical Fragmentation



(MAX Security, 2025).

The collapse of global trade rules has created geopolitical friction, **slowing trade growth** and forcing nations to **reroute supply chains** toward resilient emerging regions.

The AI Revolution



(Politico, 2026).

While the rapid adoption of AI delivers massive corporate productivity gains, it simultaneously **disrupts labor markets** and **accelerates unemployment** among young knowledge workers.

Monetary Pressure

3.75%

2026 Fed Fund Rate

(TradingView, 2026).

Sticky core inflation has compelled the Federal Reserve to keep interest rates at highly restrictive levels for an extended period. → This sustained pressure strengthens DXY, intensifying **pressure on emerging market currencies**.

Deceleration & Divergence

3.1%

2026 IMF Projected Global Growth

- **Global Growth:** tariffs and high public debt cause global growth to slow down.
- **Recession Risk:** Persistent crude oil prices near $100/barrel pose a critical threat of pushing the U.S. economy into a **recession**.

VIETNAM ECONOMY

Amid heightened **market volatility**, investors should focus on **high-quality** stocks with **disciplined position sizing**.

Market Reclassification

$25 billion

Expected Foreign Capital Inflows

- Vietnam's upgrade to Emerging Market status, unlocking **massive global fund allocations**.
- While large-cap sectors will benefit first, the broader impact on real estate and logistics will unfold gradually, depending on foreign ownership policies.

Fiscal-Led Growth

~5% of GDP

Projected Fiscal Deficit

- Fiscal policy is now the main economic driver, shifting focus from fragmented budgets to **heavy public investment**.
- Managing the 5% GDP deficit is vital to avoid crowding-out effects that could push up domestic interest rates.

Global Minimum Tax

15%

Global Minimum Tax from 2024

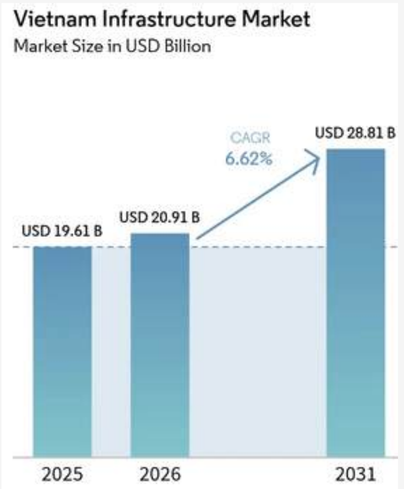
As the GMT effectively ends Vietnam's traditional tax holiday incentives, the country is shifting its focus to **structural advantages** to attract high-quality, tech-intensive FDI.

Monetary Constraints

(S&I Ratings, 2026).

With global rates high and deposit growth low, the SBV is staying cautious, shifting the economy from credit expansion to **structural reforms**.

Infrastructure Development



(Modor Intelligence, 2026).

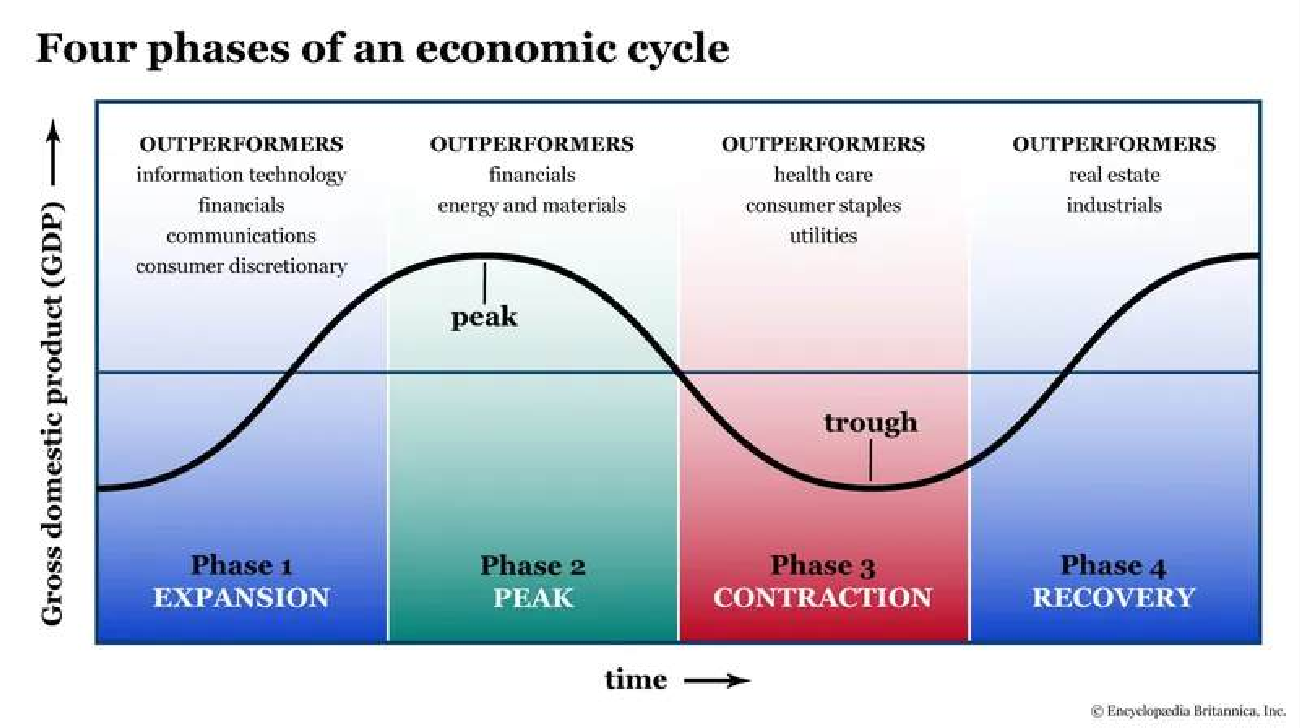
Major projects like the North–South expressway and Long Thanh Airport are nearing completion, cutting logistics costs and creating **new industrial clusters**.

Macro Overview

VIETNAM ECONOMY OUTLOOK

Vietnam is in

Late Expansion, approaching Peak.



(Britannica, 2026).

In a late expansion, core investments should focus on:

- **Banking**, **Infrastructure**, and **Consumer Discretionary** for stable earnings.
- **Technology** and **Renewables** offer longer-term upside.

1. STRONG GDP GROWTH CONFIRMS THE EXPANSION PHASE.

Driven by **robust expansions** across all three economic sectors:

- Q1/2026 GDP grew at 7.83% YoY.
- Five-year high in realized FDI of $5.41 billion.
- A low 2.21% unemployment rate.

2. SURGING INFLATION SIGNALS PROXIMITY TO PEAK.

- CPI surged to 4.65% in March and 5.46% in April 2026, exceeding the government's 4.5% target.
- Inflation pressures are now spreading into transportation, manufacturing, and **broader input costs**.

3. INTEREST RATES DRIFTING UPWARD, A LATE-EXPANSION SIGNAL

- VND interest rates have been climbing across both interbank and retail markets, driven by strong **credit demand** and **tightening liquidity**.

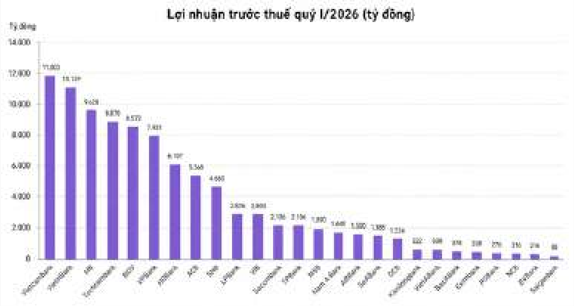
4. EXCHANGE RATE SHORT-TERM AND MEDIUM-TERM OUTLOOK.

- USD/VND has risen back toward 26,300 as geopolitical risk drives safe-haven USD demand.
- However, a trade surplus and stable FDI inflows provide **medium-term support** for the VND, limiting downside risk.

POTENTIAL SECTORS

1.Financials

Earnings Recovery



(Ha Noi Moi, 2026).

Q1 2026 earnings rebounded strongly, driven by NIM expansion and consumer finance recovery.

Valuation Disconnect

1.3x P/B
vs. 16% ROE

0.5x PEG
8x forward P/E
vs. 17% EPS growth

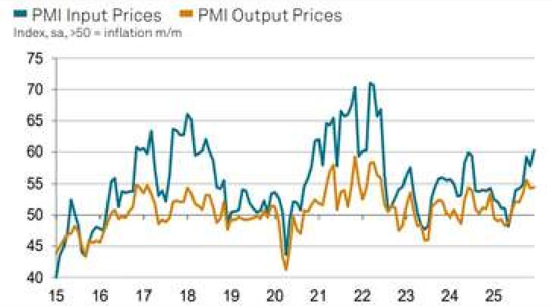
The sector remains deeply undervalued, well below historical averages despite strong earnings growth.

Underweight: 33.38%

Despite strong fundamentals, the sector remains underweight due to its **limited listed universe** and relatively **low liquidity**.

2.Materials

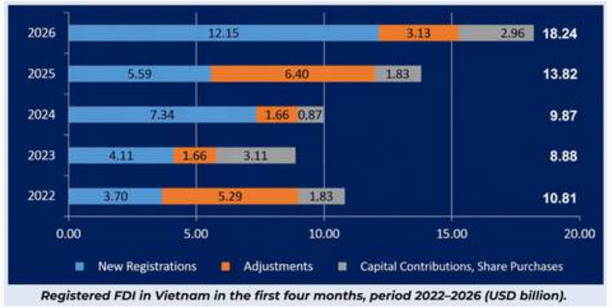
Earnings Recovery



(Theinvestor, 2026).

Q1 2026 earnings improved alongside stronger construction demand, while stable HRC prices and lower coal costs supported margin expansion.

FDI Tailwinds



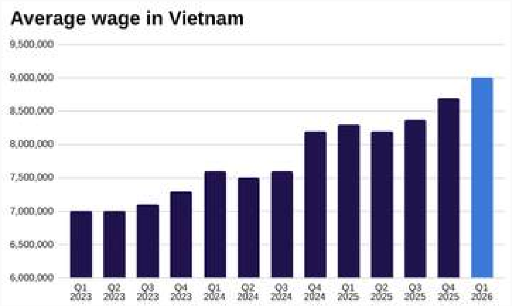
(TPM, 2026).

Record public investment, China+1 FDI inflows, and mega-projects such as Long Thanh Airport and the North-South Expressway provide **strong demand visibility** through 2027.

Overweight: 21.10%

3.Consumer Discretionary

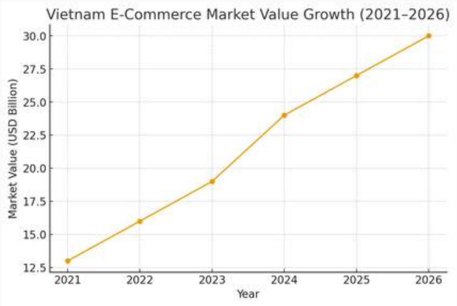
Consumption Recovery



(the-shiv, 2026).

Rising household income and the extension of the 8% VAT rate through 2026 continue supporting discretionary spending growth.

E-Commerce Expansion



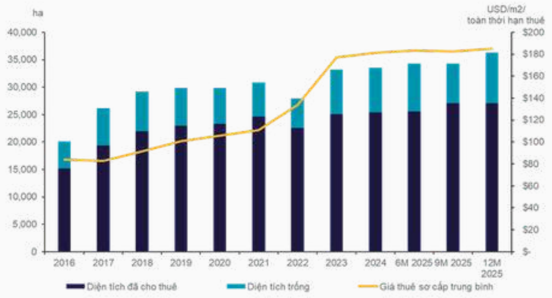
(Invest Vietnam, 2025).

The rapid growth of e-commerce and digital consumption is expected to drive stronger discretionary spending, supported by increasing online penetration and evolving purchasing behavior.

Overweight: 14.74%

4.Real Estate

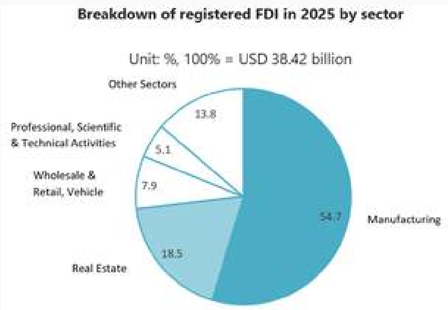
High Occupancy



(Khu Cong Nghiep 247, 2026).

Industrial park occupancy remained elevated, supporting continued rental growth in key markets.

China+1 Momentum



(B&Company, 2026).

Strong FDI inflows and manufacturing diversification continue driving industrial land demand across electronics, EVs, semiconductors, and data centers.

Underweight: 30.78%

Despite strong fundamentals, the sector remains underweight due to its **limited listed universe** and relatively **low liquidity**.

STOCK SELECTION

1.TCB

Sector	Ticker	Company	Market Cap (Billion VND)	P/E LTM	Sector P/E LTM	P/B	Basic EPS (Q2/2025-Q2/2026)
Financials	TCB.VN	Techcombank	240,932.17	9.36	10	1.29	3,63

CORE BUSINESS

Digital Banking & Retail Expansion

~18 million
Retail & Corporate Customers

+18.2% YoY
2025 Pre-tax Profit

- **Digital & Ecosystem Growth:** TCB strengthens its market leadership by leveraging rapid customer acquisition and **strong ecosystem synergies**.
- **AI-Driven Efficiency:** The 2026 AI integration strategy acts as a key catalyst to optimize operations and boost long-term fee income.

FINANCIAL HEALTH

Funding Advantage

37.9%
CASA Ratio (1Q26)

4.4%
NIM (latest disclosed) vs **industry average 3.2%**

TCB's industry-leading CASA ratio provides a **low-cost funding advantage**, supporting superior NIM resilience and profitability amid high interest rates.

Asset Quality

15.2%
Basel II CAR (1Q26

1.16%
NPL Ratio (1Q26)

Backed by high capital adequacy and prudent liquidity management, TCB's strong provisioning and controlled asset risk reinforce its **resilience against macro volatility.**

Earnings Momentum

~9-10x
Forward P/E

~35%
Analysts' target upside

Despite superior profitability, TCB **trades at a discount** to leading peers. Strong earnings growth and recovering margins create compelling re-rating potential in 2026.

2.VCB

Sector	Ticker	Company	Market Cap (Billion VND)	P/E LTM	Sector P/E LTM	P/B	Basic EPS (Q2/2025-Q2/2026)
Financials	VCB.VN	Vietcombank	509,696.18	14.18	10	2.18	4.3

CORE BUSINESS

Market Leadership & Credit Expansion

15.5%
2026 projected credit growth

15 million
VCB Digibank users

As Vietnam's top state-owned bank, VCB **benefits from recovering corporate credit demand**, while its expanding digital and AI ecosystem enhances operating efficiency.

FINANCIAL HEALTH

Asset Quality

11-12%
Expected profit growth

0.62%
Lowest Vietnamese NPL ratio

VCB maintains a premier balance sheet with **low credit risk and strong provisioning**. This high asset quality reinforces its defensive positioning amid volatile macro conditions.

Financial Strength

15.2%
CAR (Basel II), from **14.6% in Q4/2025**

4.86%
Q1 2026 credit growth, outperforming **industry average of 3.18%**

Although VCB trades at a premium valuation, the bank's **dominant market position**, superior funding quality, and stable earnings growth justify its higher multiple relative to the sector.

STOCK SELECTION

3.HPG

Sector	Ticker	Company	Market Cap (Billion VND)	P/E LTM	Sector P/E LTM	P/B	Basic EPS (Q2/2025-Q2/2026)
Materials	HPG.VN	Hoa Phat Group	207,621.35	9.84	14.3	1.49	2.75

CORE BUSINESS

Capacity Expansion & Infrastructure Demand

+29% YoY

2026 Revenue Forecast

+46% YoY

Net Profit Forecast

As Dung Quat 2 reaches full operation, 2026 marks a major growth phase for HPG, fueled by rising infrastructure spending and recovering domestic steel demand.

FINANCIAL HEALTH

Profitability Recovery

+46% YoY

Expected earnings growth

(VnEconomy, 2026).

Stronger selling prices and higher production utilization are expected to support margin recovery after the industry downturn. HPG's **vertically integrated model** also improves cost efficiency during commodity-price volatility.

Earnings Momentum

~14x

TTM P/E below **5-year peak of 17.1x**

~30.5%

Analysts' target upside

Despite dominant market positioning, HPG trades at an **attractive valuation** relative to its long-term growth and cyclical earnings recovery.

4.MWG

Sector	Ticker	Company	Market Cap (Billion VND)	P/E LTM	Sector P/E LTM	P/B	Basic EPS (Q2/2025-Q2/2026)
Consumer Discretionary	MWG.VN	Mobile World Investment	123,641.26	15.17	16.3	3.44	5.55

CORE BUSINESS

Retail Leadership & Consumption Recovery

~80%

Dien May Xanh contribution of total profit

1,000 new stores

Bach Hoa Xanh expansion plan

MWG's shift toward a 'Quality Growth' strategy **prioritizes efficiency** over aggressive expansion, while recovering consumption and electronics replacement cycles drive core retail growth.

FINANCIAL HEALTH

Earnings Recovery

>20%

BHX targeted revenue growth

+40.5% YoY

Q1/2026 revenue

Higher operational efficiency and stronger same-store sales growth drive MWG's margin expansion, while its scale advantage and nationwide logistics reinforce **profitability resilience**.

Valuation

~30.3%

Analysts' target upside

Driven by the Điện Máy Xanh IPO and consumption recovery, MWG is poised for a **valuation re-rating** in 2026.

STOCK SELECTION

5.SIP

Sector	Ticker	Company	Market Cap (Billion VND)	P/E LTM	Sector P/E LTM	P/B	Basic EPS (Q2/2025-Q2/2026)
Real Estate	SIP.VN	Sai Gon VRG Investment Corporation	13,292.00	9.75	32	2.31	5.899

CORE BUSINESS

Strategic Industrial Land Portfolio

+14.7%

Phuoc Dong & Dong Nam's profit growth

Driven by the 'China+1' shift and rising FDI, SIP is poised to capture **strong industrial land demand** in Vietnam.

FINANCIAL HEALTH

Asset Quality

25.7%

ROE

14.3%

Net Margin

SIP maintains strong operational efficiency relative to industry peers. Its high-return business model and stable industrial leasing income support **resilient earnings growth** across economic cycles.

Financial Strength

5–7%

Expected 2026 profit growth

~22.9%

Analysts' target upside

Despite strong earnings quality and structural growth exposure, SIP still offers **attractive upside potential** as industrial demand and land rental prices continue rising in 2026.

6.KBC

Sector	Ticker	Company	Market Cap (Billion VND)	P/E LTM	Sector P/E LTM	P/B	Basic EPS (Q2/2025-Q2/2026)
Real Estate	KBC.VN	Kinh Bac City Development Holding Corporation	30,701.21	18.23	32	1.14	1.782

CORE BUSINESS

Project Pipeline

15–18%

Trang Cat & Phuong Lieu's expected profit growth

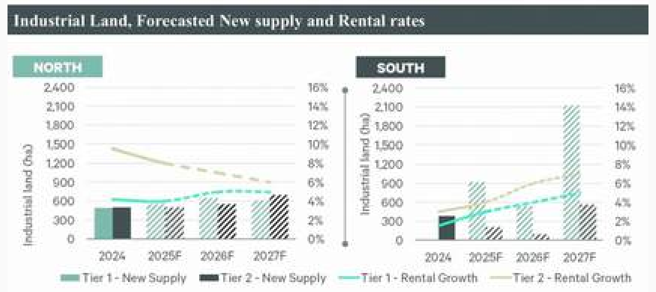
The Trang Cat project and expanding social housing are set to be key earnings drivers in 2026.

FINANCIAL HEALTH

Profitability Recovery

+170% YoY

Expected earnings growth



(Vietnam Investment Review, 2025).

Accelerated land handovers and strong FDI inflows into prime manufacturing hubs are expected to **drive robust margin recovery**. KBC's massive, cleared land bank provides a significant competitive advantage in **capturing shifting global supply chains.**

Earnings Momentum

~8.5-10x

Forward P/E, below **historical average of 12x**

Despite strong cash-flow generation potential and a dominant position in industrial real estate, KBC still **trades at an attractive valuation** relative to its asset value and upcoming project prospects.

PORTFOLIO FORMATION

OPTIMAL WEIGHT

Using the **VNI benchmark**, we applied the **Black-Litterman model with Absolute Views** to estimate 2027 expected returns. Subjective views combine market data with target prices predicted by **VPS algorithms**. The portfolio **maximizes the Sharpe ratio** under **three constraints**:

- **Sector limits:** Fixed weights based on "Potential Sectors."
- **Stock limits:** Weights capped at **25%** to prevent concentration.
- **Trading limits:** Full investment with **no short selling**.

Sector	Sector Weight	Ticker	BL Expected Excess Return	BL Expected Return	BL Optimal Weight
Financials	33.39%	TCB.VN	0.4242%	4.63%	19.89%
		VCB.VN	0.2931%	4.50%	13.50%
Materials	21.10%	HPG.VN	0.449%	4.65%	21.10%
Consumer Discretionary	14.74%	MWG.VN	0.3186%	4.52%	14.74%
Real Estate	30.77%	KBC.VN	0.3522%	4.56%	16.38%
		SIP.VN	0.3115%	4.52%	14.39%

Table 1. Optimal Weights using Black-Litterman Absolute Views.

BACKTEST

Metric	Backtest
Annual Return	8.0771%
Cumulative Returns	25.6220%
Annual Volatility	21.3776%
Sharpe Ratio	0.1812
Sortino Ratio	0.2222

Table 2. Backtest.

Backtest using **Traditional Approach (Fama-French 3-Factor Model)**:

- The portfolio delivers **solid growth potential**, suitable for growth-oriented investors. The high volatility reflects aggressive exposure to **higher-beta stocks**, leading to larger price swings.
- The relatively low Sharpe and Sortino ratios indicate returns are achieved with higher risk, which is acceptable for investors prioritizing **growth over stability**.

INITIAL PORTFOLIO

Ticker	Shares	Price	Value	Weight
TCB.VN	53,353	33,550 VND	1,789,993,150 VND	19.89%
VCB.VN	20,017	60,700 VND	1,215,031,900 VND	13.50%
HPG.VN	70,062	27,104 VND	1,898,994,658 VND	21.10%
MWG.VN	15,623	84,900 VND	1,326,392,700 VND	14.74%
KBC.VN	42,787	34,450 VND	1,474,012,150 VND	16.38%
SIP.VN	22,931	56,492 VND	1,295,407,214 VND	14.39%
Total			8,999,831,771 VND	100.00%

Table 3. Initial Portfolio.

SCENARIO

Scenario	Probability	GDP Growth	CPI Avg	Policy Rate	USD/VND Deprec	FDI Inflow
Bull	GDP ≥7.5%; FTSE EM upgrade in Sep 2026; Record FDI; Public investment breakthrough; Well-controlled CPI.					
	25%	Q1 GDP reached 7.83%. → Bull maintains growth momentum.	• Oil cooled down. • Hormuz reopened.	SBV keeps rate at 4.5%.	• Exchange rate fluctuates slightly ~2%. • VND supported by FDI.	FDI disbursed growth increases.
		7.50%	4.50%	4.50%	2.00%	6.00%
Base	GDP ~7.8%; average CPI 4.8%; Brent USD 85–95; exchange rate +2–3%; SBV maintains interest rate at 4.5%.					
	50%	• Actual Q1 7.83%. • WB forecasts 6.3%.	KBSV baseline: Brent 85–95 USD.	SBV space for easing is narrowed due to CPI. → Keep unchanged.	• USD/VND ~26.300. • SBV band +2–3%.	FDI disbursed growth increases.
		7.00%	5.00%	4.50%	3.00%	4.00%
Bear	GDP <7%; Brent USD 100 → CPI 5.4%; SBV raises interest rates; VND depreciates; FDI slows down.					
	20%	• WB downside VN 2026: 6.3%. • Prolonged geopolitics.	KBSV bear case: Brent 100 USD.	CPI exceeded target.	VND approaches SBV lower band ~26.600.	• Foreign investors net selling. • Slow FDI disbursement.
		6.30%	5.60%	5.50%	7.00%	-5.00%
Stress	Hormuz prolonged closure; Brent >110 USD; CPI >6%; foreign capital flight; sharp VND depreciation.					
	5%	Dual supply shock: energy + supply chain explosion.	Energy + logistics prices exploded CPI 6%+.	SBV urgently tightens to control inflation + protect VND.	• Flight to safe assets. • VND depreciated >5%.	FDI stagnant; disbursement decreased sharply due to global instability 2025 down 5%.
		3.00%	6.50%	6.50%	10.00%	-15.00%

STOCK EXPECTED RETURN

1.Bull Scenario

Stock	TCB.VN	VCB.VN	HPG.VN	MWG.VN	SIP.VN	KBC.VN
Return	23.75%	33.37%	32.59%	23.92%	15.49%	23.80%

- **Financials & Industry:**
  - Banking leads with **high-conviction growth**.
  - HPG.VN tops the portfolio, driven by cyclical steel demand and infrastructure acceleration.
- **Consumer & Real Estate:**
  - MWG.VN captures retail recovery at 23.92%.
  - Real estate displays **positive but asymmetric sensitivity**, with KBC.VN significantly outperforming SIP.VN.

→ Broad-based expansion levers the entire portfolio **above a 20% return threshold**, except for SIP.VN.

2.Base Scenario

Stock	TCB.VN	VCB.VN	HPG.VN	MWG.VN	SIP.VN	KBC.VN
Return	19.50%	29.62%	24.09%	18.92%	10.24%	16.30%

- **Financials & Industry:**
  - VCB.VN anchors the portfolio as the top performer, proving its **defensive profitability**.
  - HPG.VN remains highly attractive, sustaining **strong infrastructure tailwinds**.
- **Consumer & Real Estate:**
  - Balanced growth emerges between TCB.VN and MWG.VN.
  - Property exposure moderates, signaling more **subdued real estate momentum**.

3.Bear Scenario

Stock	TCB.VN	VCB.VN	HPG.VN	MWG.VN	SIP.VN	KBC.VN
Return	7.15%	18.32%	-7.21%	3.67%	-9.21%	-13.90%

- **Resilient Quality:**
  - Banking provides **critical downside insulation**, led by a resilient VCB.VN and a positive TCB.VN.
- **Cyclical Deterioration:**
  - Discretionary spend flattens, dragging MWG.VN down.
  - Industrial exposure turns negative.
  - Real estate faces **severe liquidity drag**.

→ A sharp decoupling occurs between defensive financials and vulnerable cyclical sectors.

4.Stress Scenario

Stock	TCB.VN	VCB.VN	HPG.VN	MWG.VN	SIP.VN	KBC.VN
Return	-12.50%	-1.13%	-48.41%	-17.83%	-37.26%	-55.70%

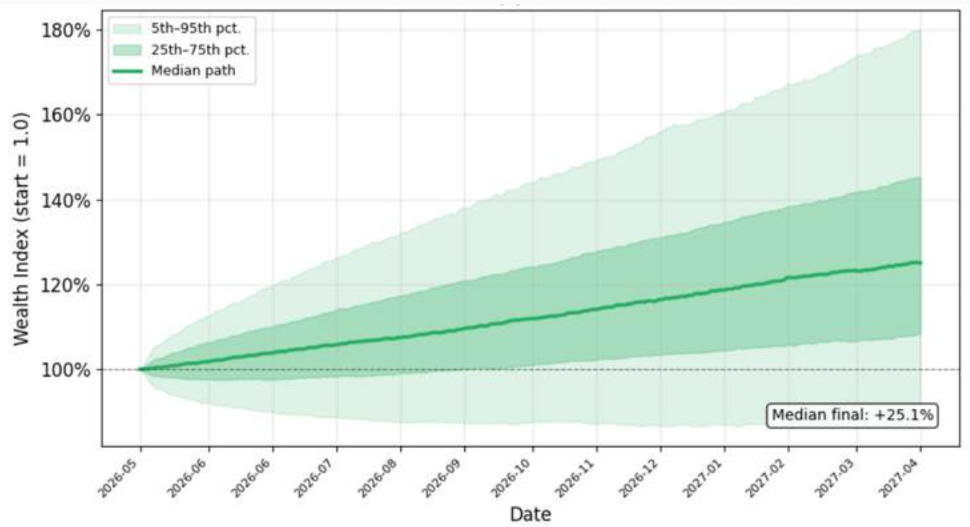
- **Tail-Risk Vulnerability:**
  - Severe systematic shocks trigger heavy capital erosion across cyclical and property assets
    → High-beta real estate and industrial names **collapse under liquidity stress**.
- **Demand Contraction**: MWG.VN drops as discretionary consumer demand freezes.
- **Capital Preservation:**
  - Banking assets function as the **final defensive line**, demonstrating superior institutional balance sheet resilience.

PORTFOLIO EXPECTED RETURN

Projected Portfolio Wealth Paths – 5,000 Monte Carlo Simulations

1.Bull Scenario

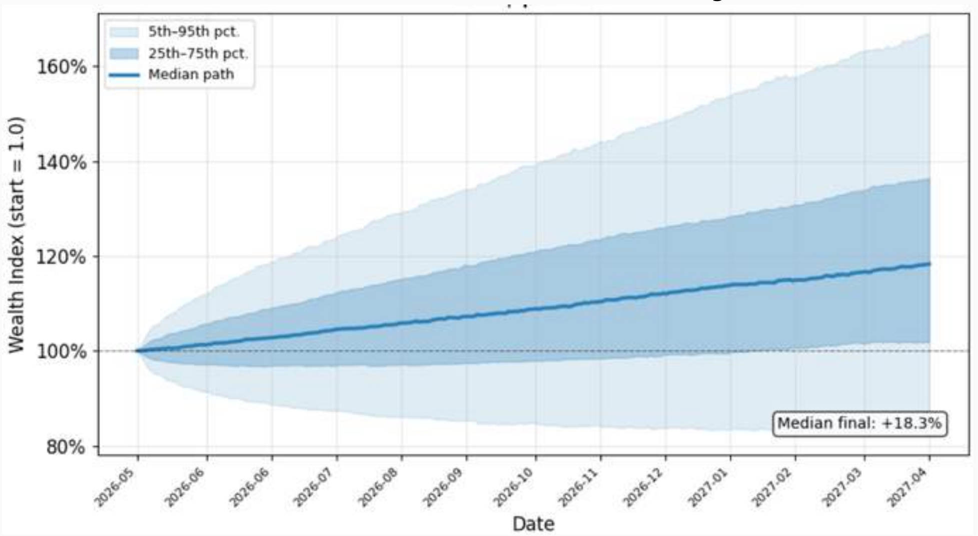
Portfolio Projected Annual Return: 25.76%.



Driven by strong macro expansion and a structural upgrade catalyst, the portfolio captures an outstanding +25.1% median final return, with its **optimistic upper-boundary** (95th percentile) breaking toward a 175% wealth index peak.

2.Base Scenario

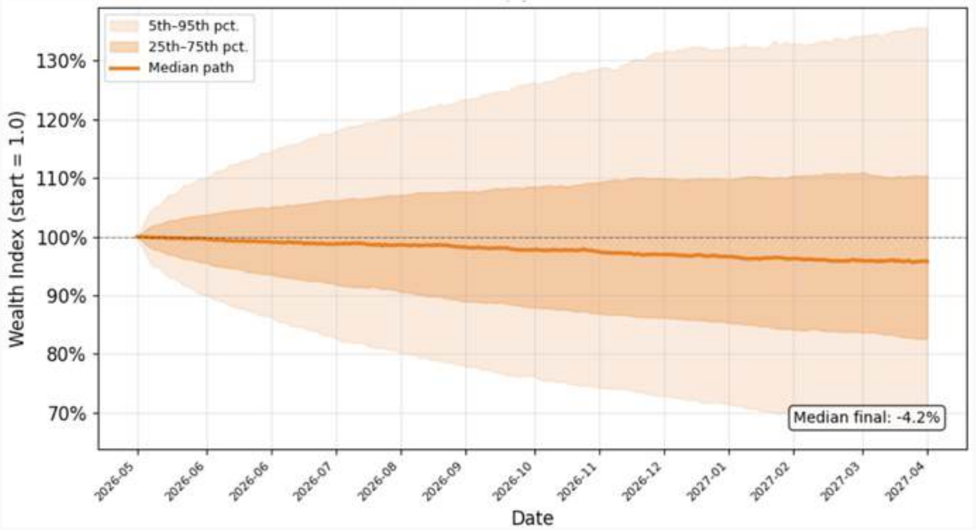
Portfolio Projected Annual Return: 19.89%.



Under the most probable economic trajectory, the portfolio delivers a **solid and highly predictable +18.3% median final return**, featuring a **tight variance profile** where the core 25th-75th percentile range stays completely insulated above the initial 100% capital baseline.

3.Bear Scenario

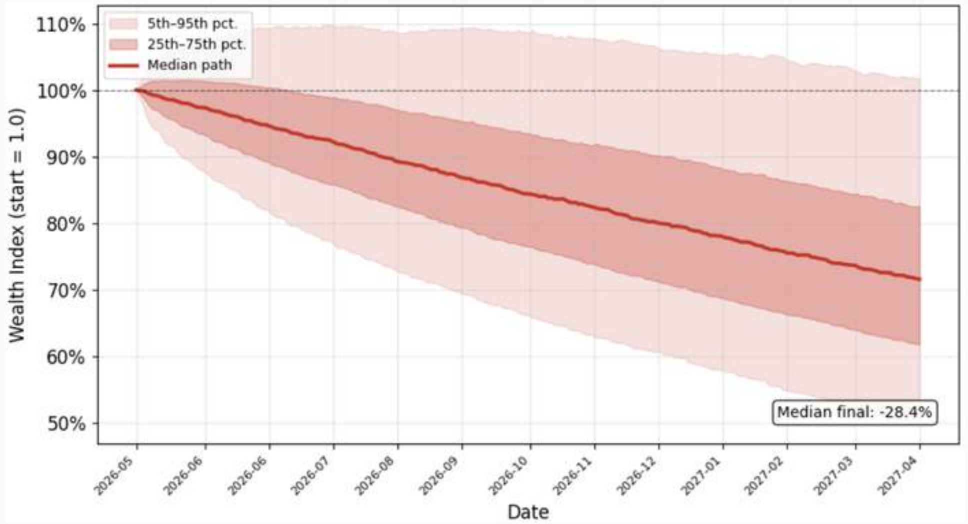
Portfolio Projected Annual Return: -0.69%.



Facing decelerating growth and monetary tightening, the median return skews into a manageable -4.2% final loss, but the widening fan structure signals **heavy market uncertainty** as the worst-case down-tail (5th percentile) drops toward 70% of initial wealth.

4.Stress Scenario

Portfolio Projected Annual Return: -29.97%.



In a catastrophic geopolitical tail-risk event, the portfolio experiences **aggressive capital erosion**, plunging to a -28.4% median final loss where even the upper 75th percentile boundary fails to recover above the 85% wealth mark by April 2027.

PERFORMANCE MEASUREMENT

Metric	Bull	Base	Bear	Stress	VN-Index (Base)
Beta	0.0023	-0.0023	-0.0021	0.0045	1.0000
Intercept (daily α)	0.0007	0.0005	-0.0003	-0.0015	0.0000
Total Risk (ann.)	28.15%	26.24%	21.26%	15.78%	12.94%
Market Risk (ann.)	0.03%	0.03%	0.03%	0.06%	12.94%
Specific Risk (ann.)	28.15%	26.24%	21.26%	15.78%	0.00%
Annualised Return	28.25%	20.76%	-2.12%	-26.84%	12.33%
Annualised Std Dev	28.15%	26.24%	21.26%	15.78%	12.94%
Jensen's Alpha (ann.)	18.14%	12.63%	-8.54%	-37.52%	0.00%
Sharpe Ratio	0.8543	0.6309	-0.2976	-1.9666	0.6283
Treynor Ratio	105.2865	-73.0112	29.7242	-69.3377	0.0813
M^2 Measure	14.70%	12.37%	0.31%	-21.33%	12.33%
T^2 Measure	10519.52%	-7309.25%	2977.09%	-6906.90%	0.00%
Information Ratio	0.7320	0.3430	-0.2931	-0.8283	—
Maximum Drawdown	-0.13%	-0.24%	-4.36%	-28.33%	-14.96%

Table 4. Performance Measurement.

1.Bull Scenario

- **Performance Analysis:** The portfolio **significantly outperforms** the VN-Index.
- **Risk & Efficiency:** Elevated annualized **volatility is well-compensated**.
- **Market Dynamics:** An extremely low Beta reveals that returns are almost entirely **decoupled** from broad market movements, driven instead by idiosyncratic, stock-specific tailwinds.

2.Base Scenario

- **Performance Analysis:** The portfolio maintains a **solid trajectory**, delivering an excess return of 12.63% over market expectations.
- **Risk & Efficiency:** Volatility remains moderate, yielding a **reliable risk-adjusted profile**.
- **Market Dynamics:** A near-zero, slightly negative Beta highlights **strong diversification benefits** and minimal correlation with macro indices.

3.Bear Scenario

- **Performance Analysis:** The strategy proves **highly resilient**, limiting losses despite adverse market shifts.
- **Risk & Efficiency:** Risk exposure contracts safely, though the negative Sharpe Ratio and Alpha reflect **uncompensated risk** relative to risk-free assets.
- **Defensive Moat:** The portfolio caps its drawdown at -4.36%, proving that **high-quality stock selection** successfully insulates capital from non-systemic market corrections.

4.Stress Scenario

- **Performance Analysis:** The portfolio faces a **severe annualized loss**.
- **Risk & Efficiency:** While systematic risk sensitivity naturally drops, the distressed Sharpe Ratio underlines severe capital erosion.
- **Vulnerability:** Asset correlations rapidly converge to 1 during acute panic, exposing **structural vulnerabilities** that drive the drawdown to -28.33% and overshoot benchmark losses.

PERFORMANCE ATTRIBUTION

1.Bull Scenario

Attribution Factor	Return	Weight	Contribution
Benchmark Return (VN-Index)	13.33%	–	13.33%
Asset Class Allocation	28.25%	90.00%	-1.3334%
Sector Allocation Effect	0.2022%	90.00%	0.2022%
Security Selection Effect	11.9359%	90.00%	11.9359%
Interaction Effect	0.8268%	–	0.8268%
Total Active Return	14.9166%	–	14.9166%
Portfolio Return	28.25%	–	28.25%

- **Alpha Drivers:** The portfolio beats the VN-Index.
- **Execution Insight:** Outperformance is overwhelmingly structural, validating **high-conviction stock-picking**.

→ A -1.33% Asset Class Allocation drag serves as the sole detractor, indicating the 90% equity cap was **slightly suboptimal** during a broad-based market rally.

2.Base Scenario

Attribution Factor	Return	Weight	Contribution
Benchmark Return (VN-Index)	12.33%	–	12.33%
Asset Class Allocation	20.76%	90.00%	-1.2334%
Sector Allocation Effect	0.1870%	90.00%	0.1870%
Security Selection Effect	7.4655%	90.00%	7.4655%
Interaction Effect	0.4606%	–	0.4606%
Total Active Return	8.4250%	–	8.4250%
Portfolio Return	20.76%	–	20.76%

- **Alpha Drivers:** The strategy delivers a steady return against the benchmark's.
- **Execution Insight:** Alpha generation is **broad-based**.

→ The 90% equity tilt remains a minor drag, but is comfortably neutralized by **superior stock selection**.

3.Bear Scenario

Attribution Factor	Return	Weight	Contribution
Benchmark Return (VN-Index)	-0.47%	–	-0.47%
Asset Class Allocation	-2.12%	90.00%	0.0466%
Sector Allocation Effect	-0.0071%	90.00%	-0.0071%
Security Selection Effect	0.8043%	90.00%	0.8043%
Interaction Effect	-0.6285%	–	-0.6285%
Total Active Return	-1.6574%	–	-1.6574%
Portfolio Return	-2.12%	–	-2.12%

- **Alpha Drivers:** The portfolio underperforms slightly during a downturn.
- **Execution Insight:** Security Selection proves standalone asset quality. However, this is erased by a -0.63% Interaction Effect, as the combination of specific positioning and sector tilts creates an **unfavorable compounding drag**.

→ Allocation effects remain **near-neutral**, mapping the underperformance to **position-level timing** rather than structural mismatches.

4.Stress Scenario

Attribution Factor	Return	Weight	Contribution
Benchmark Return (VN-Index)	-22.67%	–	-22.67%
Asset Class Allocation	-26.84%	90.00%	2.2666%
Sector Allocation Effect	-0.3436%	90.00%	-0.3436%
Security Selection Effect	-5.4940%	90.00%	-5.4940%
Interaction Effect	-1.4586%	–	-1.4586%
Total Active Return	-4.1727%	–	-4.1727%
Portfolio Return	-26.84%	–	-26.84%

- **Alpha Drivers:** Extreme crisis conditions trigger heavy capital erosion.
- **Execution Insight:** High-conviction holdings suffer disproportionately under panic selling.

→ A +2.27% Asset Class Allocation effect acts as a modest buffer, but it fails to offset concentrated stock-level losses, highlighting **acute tail-risk sensitivity**.

RISK MANGEMENT

RULES

- **Rule 1:** Liquidate 50% of the position if the stock price drops 7% below the entry price.
- **Rule 2:** Liquidate 100% of the position if the stock price drops 10% below the entry price.
- **Rule 3:** Raise cash holdings to a minimum of 70% of the total portfolio value if the overall NAV declines by 10%.

Disclaimer: These rules serve as a strategic reference based on projections. Execution remains dynamic and should be adjusted to real-time market conditions rather than rigidly followed.

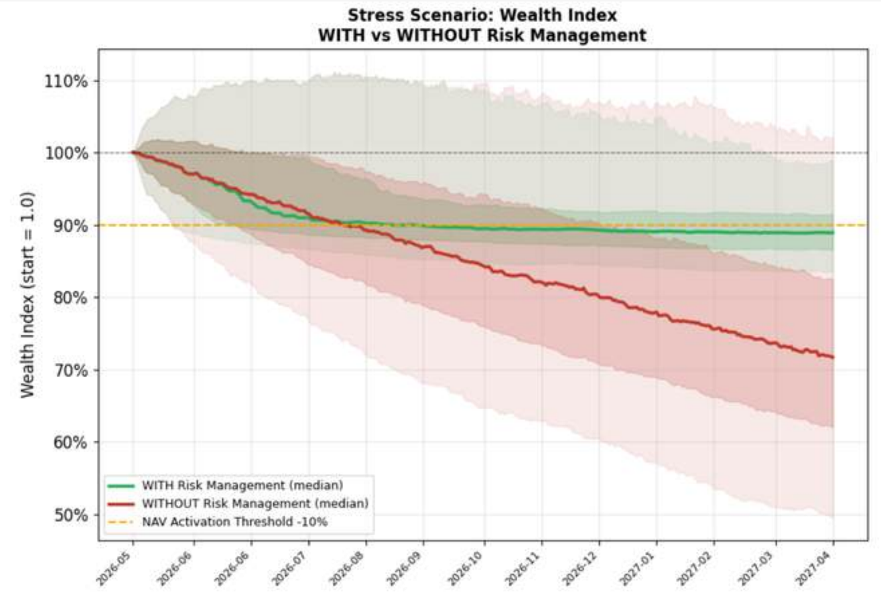
IMPACT SUMMARY

Scenario	Prob	% Paths RM Triggered	Median Return (With RM)	Median Return (Without RM)	Protection Benefit	VaR 95% (With RM)	VaR 95% (Without RM)	MDD (With RM)	MDD (Without RM)	MDD Mitigation
Bull	25%	26.6%	21.73%	25.53%	-3.79%	-6.45%	-10.92%	-1.22%	-0.94%	-0.28%
Base	50%	34.4%	14.30%	18.38%	-4.08%	-8.83%	-16.00%	-1.16%	-1.01%	-0.15%
Bear	20%	63.4%	-4.75%	-3.64%	-1.11%	-12.13%	-31.64%	-5.47%	-4.17%	-1.30%
Stress	5%	94.0%	-10.95%	-28.12%	+17.17%	-15.87%	-49.03%	-10.98%	-28.31%	+17.33%

- **Normal Markets (Bull/Base/Bear):** RM underperforms and lowers median returns by capping upside and slowing recovery. However, this is an **expected trade-off** for significantly lower downside risk, evidenced by improved VaR across all scenarios.
- **Stress Market:** The protocol achieves **maximum utility**, slashing median losses from -28.12% to -10.95% while heavily mitigating drawdown and VaR metrics.

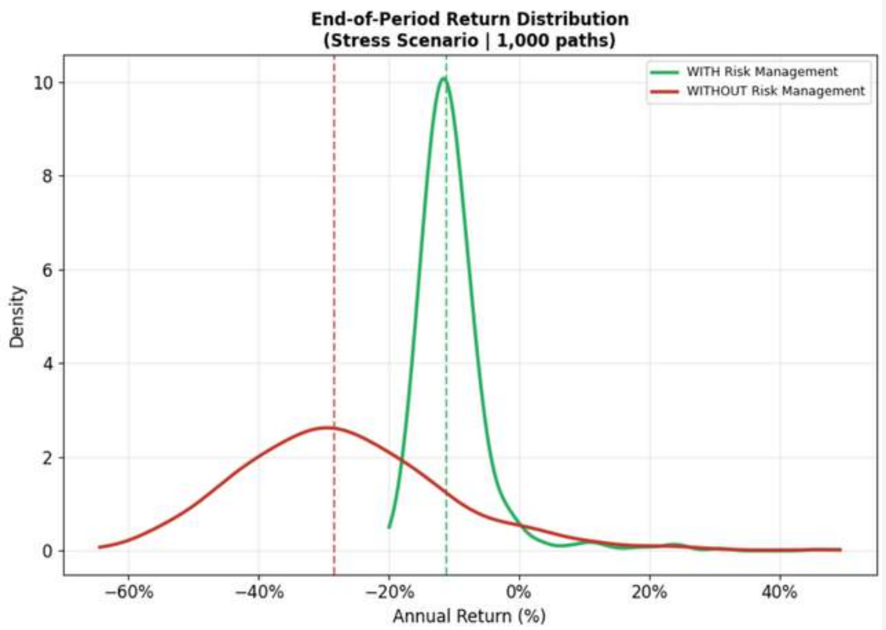
Backed by a 94% trigger rate, the mechanism operates reliably as **essential tail-risk insurance** during extreme market crashes.

STRESS CASE SCENARIO



- With Risk Management, the median wealth index stabilizes at ~89% by April 2027 versus a drop to ~71% without it.

The protocol compresses downside variance, entirely **eliminating the unmanaged worst-case plunge** toward the 50% boundary.



- Risk Management tightens the return profile into a narrow peak centered at a -11% median loss, versus -29% without it

The protocol successfully **eliminates fat-tail risk**, turning extreme variance into a predictable outcome that caps worst-case downside at ~-20%.

CONCLUSIONS

CONCLUSIONS

1. PORTFOLIO CONSTRUCTION

- Our growth-oriented portfolio was strategically positioned for Vietnam's late-expansion economic cycle.
- Overweighting Materials and Consumer Discretionary **captured macro tailwinds**, while an underweight Financials and Real Estate position preserved capital.

2. ALPHA GENERATION

- **Stock Selection Alpha:** Stock selection served as the portfolio's primary driver of alpha generation across market scenarios.
- **Benchmark Outperformance:** The portfolio **consistently outperformed the VN-Index** in both Base and Bull scenarios, validating the Black-Litterman framework's effectiveness in **identifying asymmetric upside opportunities**.

3. DOWNSIDE PROTECTION

- The stop-loss mechanism slightly reduced normal-market returns as a necessary cost for **tail-risk protection**.
- Ultimately, combining quantitative optimization with macro analysis protected capital during market stress and drove benchmark outperformance.

LIMITATIONS & REMEDIES

1. BLACK-LITTERMAN MODEL

- The current Black-Litterman model relies on precise analyst targets and normal distributions, **failing to capture HOSE's liquidity shocks**.
- Future improvements **should incorporate confidence intervals** and **non-normal tail distributions** to better model market stress.

2. SCENARIO ANALYSIS LIMITATIONS

- Calibrating scenarios with end-April 2026 data introduces **look-ahead bias**, **potentially overstating projected returns**.
- Future models **should apply rolling quarterly updates** using only information available at inception.

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----APPENDIX----

FEES & EXPENSES

Shareholder Fees (fees paid directly from your investment)		
1	Sales Charge Imposed on Purchases (Broker trading fee when buying Vietnamese stocks)	0.15%
2	Purchase Fee	None
3	Sales Charge Imposed on Reinvested Dividends	None
4	Redemption / Selling Fee	0.15%
5	Securities Selling Tax (Vietnam PIT tax on stock sales)	0.10%
6	Annual Account Fee	None

Annual Fund / Portfolio Operating Expenses		
1	Management Fees	1.00%
2	Distribution and Service Fees	None
3	Performance Fees	0.30%
4	Other Fees (custody fee, legal expenses, administrative expenses, exchange-related expenses)	0.10%
5	Total Annual Fund Operating Expense (no outperformance)	1.10%
6	Total Annual Fund Operating Expense (with outperformance)	1.40%

Thank You!

TACN Capital Partners

FSC 2026